Executive summary

Weekly Investment Meeting

Section 1: The week in one paragraph

Midterm relief, then an AI repricing

The S&P 500 lost 2.7% in a week that opened with a post-election relief rally, and the loss was a repricing of AI, not a verdict on the economy.

Democrats took both chambers of Congress, and the Dow rose 1,511 points on 4 November as Trump accepted the result. Within a day the rally reversed as investors priced tighter state-level scrutiny of data centres, the Nasdaq Composite fell 5.5% and the semiconductor index 12.3%. Everything else behaved as it would in a market that still believes in the cycle. Bonds rallied, credit indices barely moved, oil fell on hopes of a US–Iran deal, and payrolls beat expectations at 165k. Earnings pointed the other way from prices: Q3 EPS growth stands at +24% in the US and +28% in Europe.

MSCI World information technology fell 7.4% on the week while consumer discretionary rose 2.6%, and India gained 8.5% as the anti-AI trade. The November meeting downgraded the macro pillar to neutral and upgraded market factors to positive, but changed no preference. Our tactical allocation is unchanged: neutral equities, underweight fixed income, overweight cash, gold and commodities.

−2.7%	−4.9%	+32.0%	+8.5%
S&P 500, week	Nasdaq 100, week	VIX, week	Nifty 50, week

Cross-asset returns, week and year to date

	Week	Year to date
Global		
MSCI World	-2.5%	+8.5%
MSCI EM	-4.1%	+9.1%
USA		
S&P 500	-2.7%	+8.8%
Nasdaq 100	-4.9%	+7.4%
Europe		
Eurostoxx 50	+0.6%	+9.4%
SMI	-0.1%	+15.0%
Asia		
Topix	-6.5%	+11.1%
Hang Seng	+5.1%	-1.7%
Nifty 50	+8.5%	-3.0%
Volatility		
VIX	+32.0%	+71.5%
MSCI World sectors		
Information technology	-7.4%	+11.5%
Consumer discretionary	+2.6%	-1.6%
Energy	-11.0%	+37.9%
Bonds		
US Gov	+0.3%	-0.2%
USD IG Corp	+0.4%	-0.6%
Eurozone Sov	+0.9%	-1.4%
FX		
EUR/USD	-0.4%	-5.1%
Bitcoin	-5.4%	-13.5%
Commodities		
Brent crude	-6.2%	+63.2%
Gold	+3.2%	-5.8%

Source: Bloomberg. Market dashboard as at close 6 November 2026. Index returns are as published; indexes are unmanaged and cannot be invested in directly.

Three observations

- The damage was concentrated: technology and energy fell hard while discretionary rose and European indices were broadly flat.
- Asia split in two. Topix lost 6.5% while the Nifty 50 and Hang Seng rose.
- Government and corporate bonds rose on the week as the VIX jumped 32.0%: the hedge worked.

Section 3: What drove it

Four forces did most of the work

1 A blue wave in Washington

Democrats won the Senate 54–44 and the House 253–162, the largest House majority since 2008, and flipped five governorships including Texas and Georgia. Stephen Miller replaces Susie Wiles as chief of staff, which points to more policy by executive order.

2 Data-centre politics hit AI

Wednesday's relief rally reversed on Thursday as investors priced state-level scrutiny of power, water and permitting for data centres, particularly in Texas, Ohio and Georgia. CoreWeave's 2031 bonds fell to 79.5 cents after Texas elected a governor backing a data-centre moratorium.

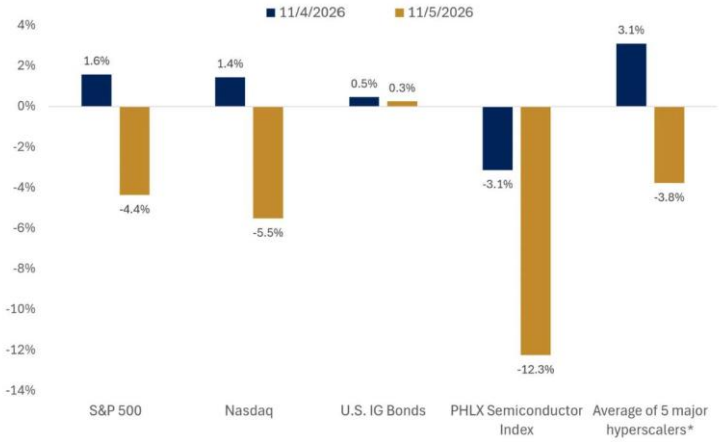
3 Iran priced for peace

After the midterms Trump said he had no immediate plans to strike, and Brent settled at $94.6 on 4 November. It rebounded towards $100 as tanker attacks resumed and a "limited" strike hit Qeshm on 6 November. The risk premium is now two-sided.

4 Bonds as the hedge

Treasury yields fell across the curve as markets read the Democratic sweep as lowering the odds of fiscal expansion, and safe-haven demand followed the tech selloff. Stronger payrolls and hawkish Fed commentary tempered the rally on Friday.

India as the anti-AI trade: the Nifty 50 rose 8.5% in a week when Topix fell 6.5%, and the India and semiconductor ETFs moved in an almost perfect inverse relationship during the selloff (TME).



Source: FactSet. Hyperscalers include ORCL, META, MSFT, AMZN, GOOGL. Past performance does not guarantee future results. Indexes are unmanaged, cannot be invested into directly and are not meant to depict an actual investment.

Source: FactSet, Edward Jones. Daily returns on 4 and 5 November 2026: the relief rally, then the AI selloff.

Section 4: Policy check

Hikes in December remain the base case

Federal Reserve, a December hike back to about 75% priced

No meeting this week. Cleveland's Hammack, a voter, expects policy to move to a more restrictive position; New York's Williams said inflation remains too high. Post-midterm AI capex worries briefly flattened the expected policy path before markets priced a December hike again.

- **Market reaction.** US financial conditions indices deteriorated further.
- **Our read.** Payrolls and growth data support one hike in December and one in H1 2027. Tighter financial conditions are the risk to that path.

Bank of England, hiked to 4%

An 8:1 vote, with the dissenter calling for 50bp rather than a hold. The BoE raised its inflation forecasts, seeing CPI peak at 4.9% in Q2 2027, and Governor Bailey left the door open to further increases. Markets expect 1.5 hikes in 2027; we pencil in one more, in H1 2027.

Bank of Japan, hawkish minutes

The September minutes show board consensus for continued hikes, with some members open to a faster pace. We expect a hike in December and another in Q1 2027.

European Central Bank, December hike still expected

October flash CPI rose to 4% while core stayed at 2.5% and services rose to 3.3%. Activity remains solid enough to absorb another hike: we expect one in December and one in H1 2027.

Strong US labour market, peaking global momentum

United States

- **Jobs surprised.** Payrolls more than doubled consensus, with 84k of upward revisions to the prior two months and gains across healthcare, professional services, construction and manufacturing. Continuing claims fell to a three-year low.
- **Real wages stall.** Wage growth held at 3.1% year on year against 3.7% inflation: zero to negative real wage growth.
- **Growth still humming.** Atlanta GDPNow estimates 3.4% for Q4 and the Citi surprise index is near its highest in five years. Price indicators in the PMIs stay high.

Eurozone

- **Momentum is peaking.** PMIs point to solid activity, but new orders are weakening in all major countries as energy prices bite.
- **Weaker September data.** Retail sales missed, and German and French industrial production fell.

China

- **Softer sentiment.** Manufacturing and services PMIs both eased in October, with the NBS measure falling more than RatingDog.
- **Global breadth peaks on strong levels.** 17 of the 31 countries tracked remain in expansion and accelerating, down from 22 a month ago.

October data		
Series	**Latest**	**Prior or consensus**
US nonfarm payrolls	165k	70k expected
US unemployment rate	4.1%	4.2%
Eurozone headline CPI, flash	4%	Up, as expected
Eurozone core CPI	2.5%	2.5%
China RatingDog manufacturing PMI	52.0	52.1
Global manufacturing PMI breadth	72%	81%

Source: Syz Research, S&P Global PMI, Bloomberg

A price break without a participation break

US equities

The S&P 500 ran to 7,689 on 4 November and gave it all back inside three sessions. It now sits 0.7% above a rising 200-day average at 7,325, holding the level that matters, but the sequence of higher lows is broken.

- Participation improved. Sectors in uptrend rose to 71% from 63% on the S&P 500, and the equal-weight index and NYSE held up far better than the headline benchmark.
- The Nasdaq is the hole. Only 32% of members sit above their 200-day against 55% on the S&P 500, and new lows outnumber new highs roughly six to one.
- Distribution without panic. No 90% down day in 2026; the heaviest, 5 November, was 83.7%. Oversold signals have not yet marked exhaustion.



Source: Bloomberg. S&P 500 holding its 200-day moving average for now.

Earnings up, multiples down. Since 30 June, forward EPS estimates are up 32% for memory, 31% for AI infrastructure and 30% for semis, while forward P/Es fell 50%, 36% and 35% (Morgan Stanley). All 20 S&P 500 semiconductor names have de-rated.

Global equities

A bull market until proven otherwise (Morgan Stanley). Europe's low AI exposure cushioned it, with 75% of European sectors in uptrend from 65%.

Asia is where the trend broke. MSCI AC Asia Pacific, Asia ex-Japan, the Nikkei and Taiwan are downgraded to neutral, and the KOSPI to bearish after a death cross and a close at 5,060. India moves the other way: the Nifty is back above both averages and restored to neutral.

Fixed income, commodities, FX and crypto

- **Rates.** Yields fell across the curve and the curve steepened: a synchronised pullback, not a trend break.
- **Oil.** Brent finished at $98.3 and remains above a steeply rising 200-day average.
- **Gold.** Reclaimed the floor it lost a week earlier but stays below a 200-day average that has rolled over; the bearish view is maintained.
- **Dollar.** The dollar index made a new high for the 2026 range and remains bullish.

- **Bitcoin.** The trading rule exited, but the drop was mild given a $6.3B Binance hack and $1B of spot ETF outflows in three days.

Section 7: Special topic 1

Ugly, but not broken: reading the November tech selloff

Thursday 5 November was one of the worst sessions of the year, and the selling was concentrated in the AI trade and amplified by heavy hedge fund de-risking.

−4.4%	−6.4%	−12.3%	5 : 1
S&P 500, 5 Nov	Nasdaq 100, 5 Nov	Semis (SOX), 5 Nov	Decliners vs advancers

A positioning unwind, not a broken thesis

Goldman's prime brokerage data points to unusually heavy hedge fund selling. Crowded positions fall, risk limits tighten, high-beta names go first and selling feeds on itself. A fundamental break would need a sustained deterioration in AI demand, earnings or investment returns; heavy selling alone does not establish that.

The trigger was political

Broad federal restrictions remain unlikely. The real action is at state and local level, where visibility stays limited until new rules arrive in early 2027. The base case is a slower rollout across more states: 22 of the 38 GW due in 2027 is already being built.

From relief to retest

The week, and the dates that test the view

Date	Event
Wed 4 Nov	Post-election relief rally on the comfort of likely gridlock.
Thu 5 Nov	The rally reverses on data-centre scrutiny; Nasdaq Composite −5.5%.
Fri 6 Nov	Tentative bounce: Nasdaq +1.1%, S&P 500 +0.3%.
10 Dec	ERCOT audit.
19 Jan	Texas governor takes office.
Late January	Q4 results and 2027 capex guidance, the first real test.

History: the first bounce is rarely the last word

Thursday's 5.52% fall was the Nasdaq's eighth drop of more than 5% since 2015. Of the previous seven, 6 of 7 rebounded the next day, 5 of 7 were lower a week later, and 6 of 7 were higher three months on, by 23% on average.

This is the 7th-largest AI sell-off in two years, after a rally of over 500% since ChatGPT's release. A 38% correction in the SOX is substantial, not unusual.

Fundamentals check

Signal	Reading
Cloud revenue	Accelerating
Advance orders for compute	Growing
AI capex	About USD 1.0tn in 2026, rising to 1.5tn by 2028
Index credit	Barely moved; AI-linked CDS keep widening
Valuation	Nasdaq forward P/E lowest since 2020; tech's ~20% premium gone

So what. A repricing of AI, not of the economy: the market now wants proof of monetisation and returns rather than bigger budgets. A retest is the likelier path before recovery. Since 1970 the S&P 500 has been higher six months after all 14 midterm elections, by 13% on average.

Section 8: Special topic 2

Equities after 5 November: AI capex delayed and moved, not cut

The midterms raise the question of whether AI capex peaks in 2027, and the market has started to sort stocks into an AI-exposed and an AI-insulated camp.

Three readings of AI capex

The bear case says capex peaks next year: Wedbush sees up to 20% of planned AI capacity coming off the roadmap,. The counter-arguments carry more weight. 22 of 38 GW of 2027 US capacity is already under construction, and 59% of planned US capacity sits outside states whose new governor favours a pause (Cleanview). Our central case is that timing and location change more than size; a 2027 peak becomes likely only if financing breaks, and so far it has not.

Two camps, and a Focus List that is not a bet on AI

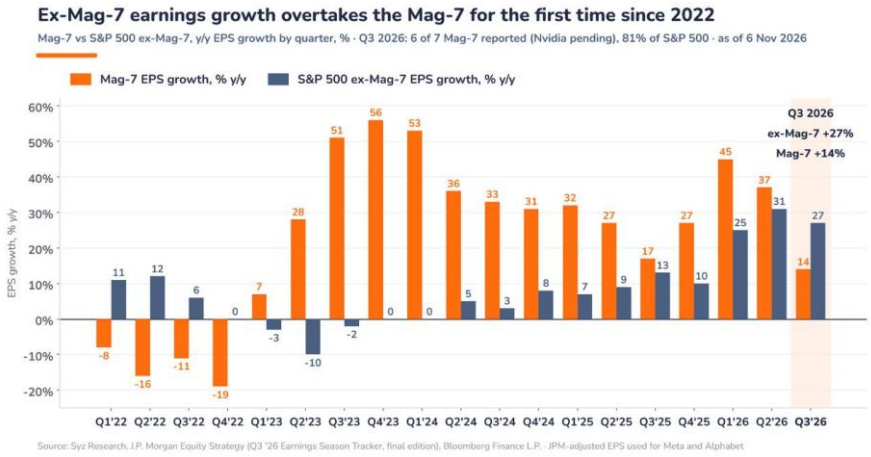
Until 2025 a chip sell-off dragged most of the market down; in 2026 AI sell-offs stayed mostly within the AI camp, while pharma, staples and some banks held up or gained. Syz Equities placed each of the 48 Focus List names by how it reacts to the AI cycle on top of the market: 11 are AI-exposed and 77% are AI-neutral or AI-insulated.

So what. Insulated from AI is not insulated from the market: these names cushion an AI correction, not a broad sell-off. The next datapoints are the ERCOT audit on 10 December, the Texas governor on 19 January and 2027 capex guidance in late January.

Week four: earnings up, multiples down

The best earnings season since 2021 met its first real sell-off, and the two had little to do with each other. With 81% of the S&P 500 and 75% of the Stoxx 600 reported, Q3 EPS growth stands at +24% in the US and +28% in Europe, and 84% of US companies beat estimates.

- **Europe leads.** Energy carries part of the gap (+13% ex-energy in Europe, +17% in the US), but six non-energy European sectors grow double digits, led by IT (+44%) and staples (+19%). The European median, +13% against +12% in the US, is ahead for the first time since 2024.
- **Leadership broadens.** The S&P 500 ex-Mag-7 grew +27% against +14% for the Mag-7, the first time since Q4 2022, as Mag-7 growth slowed from +45% in Q1 and +37% in Q2 on base effects.
- **Guidance at a cycle high.** 62% of S&P 500 companies raised EPS guidance, against a 42% average since 2012; only 16% guided lower.
- **AI demand intact.** AMD data-centre revenue grew 97%, Arista expects AI networking revenue to double and SK hynix is sold out of HBM through 2029. Yet AMD fell 17% and Arista 11% on 5 November. Nvidia on 25 November is the next test.



Source: Syz Research, LSEG I/B/E/S, FactSet, Bloomberg. Mag-7 against S&P 500 ex-Mag-7 EPS growth by quarter.

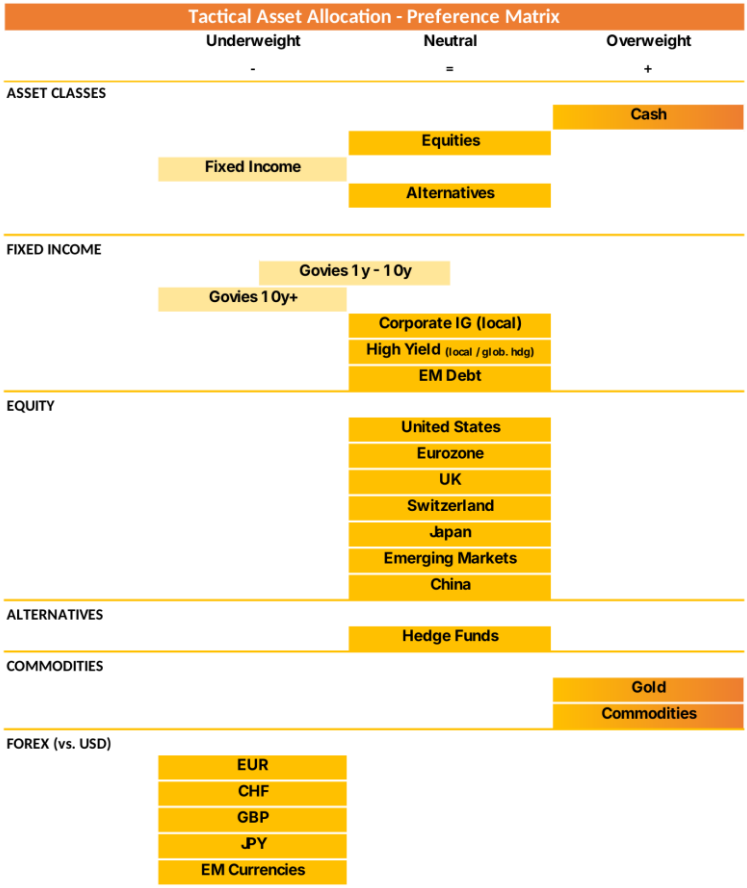
Source: Syz Research, LSEG I/B/E/S; FactSet, Q3 Earnings Season Tracker; Bloomberg Finance L.P. Earnings pulse week 4, Malek Dahmani, Head of Equities.

House view and portfolio positioning

This is the part that carries into the portfolios. Tactical asset allocation is unchanged: the November meeting moved two pillars and no preferences.

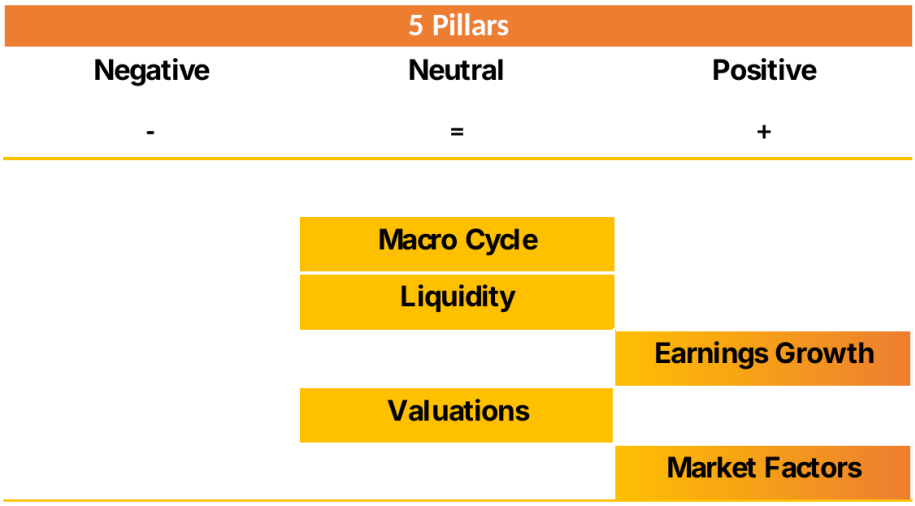
Tactical asset allocation

- We stay neutral on equities, and neutral on every region: the US, the eurozone, the UK, Switzerland, Japan, emerging markets and China.
- Cash is overweight.
- Fixed income is underweight. Govies of 10 years and over are underweight and 1 to 10 years sit between underweight and neutral; corporate IG, high yield and EM debt are neutral.
- All currencies are underweight against the US dollar: EUR, CHF, GBP, JPY and EM currencies.
- In alternatives we are overweight gold and commodities, and neutral hedge funds.



Source: Syz Research. Tactical Asset Allocation preference matrix.

The five pillars



Source: Syz Research. The five pillars framework.

- **Macro, neutral.** Downgraded. The cycle is intact but data cooled, mostly outside the US; energy prices start to bite into consumption and higher yields and key rates will slow parts of the economy.
- **Liquidity, neutral.** Further hikes are priced and financial conditions have tightened moderately, but as a consequence of stronger nominal growth rather than a liquidity shock.
- **Earnings growth, positive.** 2026 expectations keep rising: +34.4% in the US, +22.8% in Europe and +25.5% in Japan, with upgrades extending into 2027.
- **Valuations, neutral.** The S&P 500 forward P/E has compressed to 18.5x from 23x a year ago; Europe, Japan and EM trade near or below historical averages, but the US earnings-yield cushion over bonds remains thin.
- **Market factors, positive.** Upgraded. The US raw score rose back to 82%, with 9 of 11 indicators positive; Europe held at 60%.

Macro scenarios

Scenario probabilities

Scenario	Prob.	Content
Baseline: Indian summer for 2026	40%	Growth recovers from the energy shock and trade ruptures, supported by investment and fiscal spending. Inflation abates over time, though the US, eurozone and UK stay above target.
Inflation heatwave	40%	A new geopolitical eruption triggers another energy shock, or stimulus and AI capex push growth into overheating with the Fed behind the curve.
Growth freeze	20%	US consumption freezes, the AI capex cycle breaks down on disappointing returns, or financial instability leads to a credit crunch.

Syz Symphony

Syz Symphony, as at 6 November 2026. Indicators deteriorated: the US score fell from 82% to 64% and Europe from 90% to 70%. US sentiment turned negative with the VIX, and volume turned negative in both

regions. Total equity allocation is reduced from 100% to 75%, now balanced between the US and Europe. Aggregate readings remain positive in both regions.

Investment conclusion

The November meeting changed the reading of the cycle, not the portfolio. Macro moved down to neutral as energy prices start to weigh on consumption, market factors moved up to positive, and allocation preferences are unchanged.

Earnings remain the strongest support. Expectations keep rising, and with earnings outpacing prices the S&P 500 forward P/E has compressed to 18.5x. We stay neutral equities, underweight fixed income and overweight cash, gold and commodities, with all currencies underweight against the dollar.

The short-term signal is more cautious. Syz Symphony cut its equity allocation to 75% as indicator scores fell in both regions, and an inflation heatwave now carries the same 40% weight as the baseline. That argues for keeping the cash overweight and the real-asset diversifiers in place.

Section 11: The week ahead

What to watch

Calendar

When	What	Why it matters
Mon 9 Nov	Miller's first day as chief of staff; NY Fed inflation expectations	Policy by executive order starts here.
Tue 10 Nov	US CPI and core CPI; Ukraine talks in Abu Dhabi	Inflation takes centre stage with a December hike about 75% priced.
Wed 11 Nov	Veterans Day: bond market closed	Thin trading mid-week.
Thu 12 Nov	Jobless claims, existing home sales	Claims test the labour strength.
Fri 13 Nov	PPI and core PPI	Second inflation read of the week.
This week	Iran strike-or-deal decision; Investment Committee	Oil's risk premium; when and how to redeploy the cash buffer.

Beyond this week, three things decide the month: Nvidia on 25 November as the next test of AI demand, December central bank meetings where we expect the Fed, ECB, BoJ to hike, and the data-centre rule calendar from the ERCOT audit on 10 December to 2027 capex guidance in late January.

This summary is an internal condensation of the Weekly Investment Meeting deck dated 9 November 2026, powered by Syz Research. Sources as cited in the underlying deck include Bloomberg, LPL Research, Goldman Sachs, Morgan Stanley, Strategas, FactSet, LSEG I/B/E/S, Edward Jones and Syz Research. Past performance does not guarantee or predict future performance. Please see the important information at the end of the full deck. For professional investors only.